

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MCS INDUSTRIES, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD. AND MSC
MEDITERRANEAN SHIPPING COMPANY SA, *Respondents*.

DOCKET NO. 21-05

Served: September 8, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

**ORDER DENYING RESPONDENT’S MOTION FOR AN EXTENSION OF TIME AND
ORDER TO SHOW CAUSE**

On July 29, 2022, an order was issued requiring Respondent MSC Mediterranean Shipping Company SA (“MSC Mediterranean Shipping”) to produce all outstanding discovery by August 29, 2022, including the discovery ordered to be produced in the order granting motion to compel issued on December 8, 2021. MSC Mediterranean Shipping failed to produce the required discovery. Instead, on August 26, 2022, MSC Mediterranean Shipping filed a motion seeking an extension of time (“Motion”) and on September 6, 2022, it filed a notice of advice of the Swiss Federal Office of Justice (“Notice”). On September 2, 2022, Complainant MCS Industries, Inc. (“MCS Industries”) filed an opposition to the motion for an extension of time.

As explained below, MSC Mediterranean Shipping’s motion seeking an extension of time is denied and it is ordered to show cause why a default decision should not be issued against it for failure to produce discovery. COSCO was previously dismissed due to a settlement.

MSC Mediterranean Shipping requested an extension to obtain advice from the Federal Office of Justice in Switzerland and propose a path forward, stating that it “cannot comply” with the July 29, 2022, order requiring production of documents and “that the July 1 ruling of the Geneva Court of First Instance is in error.” Motion at 1-2. Complainant asserts that Respondent’s failure to comply with its discovery obligations are a crisis of Respondent’s own making; Respondent’s motion should be denied as both substantively meritless and procedurally inappropriate; and, procedural sanctions are an appropriate remedy for Respondent’s noncompliance. Opposition at 1-6.

Essentially, Respondent continues to argue despite rulings to the contrary in this proceeding and in the Republic and Canton of Geneva Court of First Instance, that due to Swiss legal requirements it cannot produce the discovery ordered in the December 8, 2021, motion to compel and the July 29, 2022, order requiring production of discovery, and that the Swiss court’s decision that their intervention is not necessary was in error. Motion at 1-5.

The notice filed by MSC Mediterranean Shipping argues that it contacted the Federal Office of Justice in Switzerland to confirm that the ruling of the Geneva Court of First Instance was in error and the “advice from the Federal Office of Justice directly supports MSC’s proposal that the request for judicial assistance should be resubmitted in order to obtain a correct assessment that the procedures are available.” Notice at 1. However, it is clear that this “advice” from the Federal Office of Justice in Switzerland merely identifies the process for resubmitting a request and the factors that may be taken into account, without any discussion of the merits of this proceeding. Notice, Exhibit B.

The question of whether Swiss assistance with discovery is required has been answered by the undersigned Administrative Law Judge and by the Court of First Instance in Geneva. MSC Mediterranean Shipping’s position did not prevail and now it must produce discovery or face procedural consequences. Relitigation of the same issue will not be permitted and has only delayed this proceeding. Therefore, the motion seeking an extension is denied.

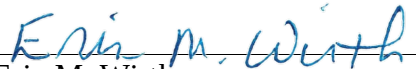
As Respondent was advised previously, pursuant to Commission Rule 150(b), if a party “fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party may make such orders in regard to the failure or refusal as are just,” including “rendering a decision by default against the disobedient party.” 46 C.F.R. 502.150(b).

In multiple filings, MSC Mediterranean Shipping has indicated that it will not produce the discovery that it has been repeatedly ordered to produce. Complainant asserts that “Respondent cannot accept the benefits of shipping cargo to and from U.S. ports while shirking its legal and regulatory obligations before the Commission” and that it would request a decision on default. Opposition at 6. Given MSC Mediterranean Shipping’s statements that it will not produce the required discovery, it is appropriate to determine whether a default decision is an appropriate remedy. Accordingly, MSC Mediterranean Shipping is ordered to show cause why a default decision should not be issued against it.

The amended complaint seeks an FMC investigation; a finding of violations of the Shipping Act; a cease and desist order; and an order requiring MSC Mediterranean Shipping to pay an unspecified amount of reparations to Complainant. An FMC investigation cannot be ordered through a formal proceeding. However, the other requested remedies may be ordered. In their response to MSC Mediterranean Shipping’s filing, Complainant should identify the dollar amount of reparations that they are seeking. MSC Mediterranean Shipping may file a reply to Complainant’s arguments.

The merits of the proceeding and remedy are not at issue and should not be addressed in these filings—the question is only whether a default decision or other procedural consequence is appropriate for MSC Mediterranean Shipping’s failure to produce discovery. If MSC Mediterranean Shipping provides the discovery, the issue will be moot and the case can proceed to a resolution on the merits. The parties may also chose to settle the proceeding and if so, should submit a motion requesting approval of the settlement with a copy of the settlement agreement.

For the reasons stated above, it is hereby **ORDERED** that MSC Mediterranean Shipping's motion for an extension of time be **DENIED**. It is further **ORDERED** that by September 22, 2022, MSC Mediterranean Shipping either provide the required discovery or show cause why default judgment should not be entered against it. Complainant may respond to MSC Mediterranean Shipping's filing by October 6, 2022. MSC Mediterranean Shipping may file a reply by October 14, 2022.


Erin M. Wirth
Chief Administrative Law Judge